Question 1: Solution

Burrstock plc

Requirement 1

Financial capital

Patents are not financial capital, as the ability to generate economic benefits is not part of the Integrated Reporting Framework definition according to which financial capital is a pool of funds available to an entity for use in the production of goods or provision of services.

(1 mark)

Patents would be classified as intellectual capital which is defined as knowledge-based intangible assets, including intellectual property such as patents.

(1 mark)

Social and relationship capital

Social and relationship capital refers to the relationships with entities and between entities, communities and other groups of stakeholders to enhance general well-being.

(1 mark)

Working with communities to minimise the effects of Burrstock's operations shows a willingness to engage with key stakeholders and is an example of social and relationship capital.

(1 mark)

Manufactured capital

Manufactured capital is manufactured physical objects such as buildings, machinery and equipment. It is not related to being a manufacturing company.

(1 mark)

Burrstock likely has assets that would be classified as manufactured capital and so Sam has not reached the correct conclusion.

(1 mark)

Human capital

Human capital incorporates people's competencies, capabilities, experience and motivations to innovate.

(1 mark)

The management fast-track programme would be a good example of human capital.

(1 mark)

(8 marks)

Requirement 2

The Strategic Report is provided as part of the annual report to provide information that is useful to shareholders in assessing how the directors have performed their duties.

(1 mark)

It provides backward-looking non-financial information that analyses past performance and allows users to better understand the context of the financial statements.

(1 mark)

It also provides forward-looking information on the company's main objectives and its strategy, including those relating to sustainability.

(1 mark)

Since Integrated Reporting (IR) encompasses a broad range of capitals, their integration into Burrstock's Strategic Report could offer stakeholders a more detailed understanding of how these diverse resources contribute to sustainable value creation.

(1 mark)

IR promotes connectivity of information, demonstrating the interdependencies between Burrstock's operations, strategies, and external influences, which can enhance stakeholders' understanding of the business.

(1 mark)

By focusing on stakeholder relationships, IR enhances the Strategic Report with insights into how Burrstock manages and values its interactions with various groups, thus improving trust and engagement.

(1 mark)

(6 marks)

Total marks (14 marks)

Question 2: Solution

Stockton plc

Requirement 1

The change in consumer preferences and the implementation of a net zero plan are both examples of climate-related transition risks.

(1 mark)

Whilst there are no IFRS® Accounting Standards that specifically refer to climate-related matters, IAS

1 requires the financial statements of an entity to present fairly the financial position, financial performance, and cash flows of an entity, where fair presentation requires the faithful representation of the effects of transactions, other events and conditions.

(1 mark)

IAS 1 also requires disclosure of material information that is not specifically required by IFRS® Accounting Standards but is relevant to the users in their understanding of the financial statements, such as the impact of climate-related information.

(1 mark)

Climate-related matters may be relevant in making assumptions relating to an entity's ability to continue as a going concern. If climate-related matters cast doubt on that assumption, IAS 1 requires disclosure of the uncertainties.

(1 mark)

Other standards may require climate-related matters to be considered when making assumptions, such relating to any provisions that may be required, the carrying amount of inventories or the impairment of assets, as is the case for Stockton.

(1 mark)

The facility's risk of becoming outdated due to a lack of necessary technological upgrades to meet environmental standards and shifts in consumer preferences are both indicators of impairment in accordance with IAS 36 *Impairment of Assets*.

(1 mark)

The assets within the CGU should be tested for impairment, including an allocation of goodwill and any other central assets. The recoverable amount should be determined and any impairment loss should be recognised in profit or loss, presented in the operating category and disaggregated if material.

(1 mark)

(7 marks)

Requirement 2

Information disclosed in accordance with IFRS Sustainability Disclosure Standards is intended to supplement and complement information provided in the financial statements. The standards have been designed for interoperability with IFRS Accounting Standards.

(1 mark)

The IFRS Sustainability Disclosure Standards apply the same definition of materiality and primary users as are defined in IAS 1 and are therefore intended to provide information that is useful to the same audience. The standards are therefore aligned in their main aims.

(1 mark)

The IFRS Sustainability Disclosure Standards use definitions and requirements consistent with those in the IASB's Conceptual Framework for Financial Reporting and also in IAS 1 and IAS 8 Basis of Preparation of Financial Statements. This consistency is expected to facilitate connectivity between sustainability-related disclosures and the financial statements.

(1 mark)

(3 marks)

Total marks (10 marks)

Question 3: Solution

Wayne Ltd

Requirement 1

Wayne is a quoted company and therefore must apply the disclosures requirements of the Companies Act 2006 para 414C (7)(b)(i).

(1 mark)

Under this requirement, the Strategic Report must include information about environmental matters, including the impact of the company's business on the environment.

(1 mark)

The extract from the Strategic Report appears overly positive as it does disclose any negative environmental impacts arising from company operations such as the contamination of a water source.

(1 mark)

However it does provide some information regarding Wayne's environmental policies and initiatives as well as an indication of the effectiveness of those policies.

(1 mark)

(4 marks)

Requirement 2

Contaminated water remediation

Wayne has made a public commitment in its Strategic Report to mitigate the s environmental impact of its operations, which creates a constructive obligation under IAS 37 because the company has created a valid expectation that it will remediate the contaminated water source.

(1 mark)

The obligation arose from a past event, it is measurable and it is probable that it will result in an outflow of economic benefits and therefore a provision should be recognised in the financial statements.

(1 mark)

The present value of the amount payable should be initially recognised as an expense and non-current liability at 1 July 20X5.

(1 mark)

Present value of the remediation cost = £10m / 1.093 = £7.722m

(1 mark)

The provision should subsequently be unwound for the 6 months to 31 December 20X5 using the discount rate. The increase should be recognised as an interest expense on provisions in the statement of profit or loss.

(1 mark)

Unwinding of the discount for the six months = £7.722m × 9% × 6/12m = £0.347m

(1 mark)

Legal claim

As Wayne's lawyers do not believe the legal claim against the company will be successful, it is a contingent liability because an outflow of economic benefits is not probable.

(1 mark)

Under IAS 37, a contingent liability is not recognised in the financial statements, but disclosure should be provided in respect of the contingent liability if it is material.

(1 mark)

Donation to local community groups

The plan to make a donation to local community groups does not arise from past events and is therefore not a provision nor contingent liability under IAS 37. No recognition or measurement is required.

(1 mark)

(9 marks)

Requirement 3

Global Reporting Initiative (GRI) Standards apply impact materiality which requires Wayne to disclose information relating to the impact of its operations on people and the planet.

(1 mark)

The GRI standards generally require more detailed and comprehensive disclosures, especially regarding environmental and societal impacts.

(1 mark)

Wayne should report on the broader environmental impact of its operations, such as impacts on the local water supply and biodiversity, and its efforts in environmental restoration, including qualitative descriptions and quantitative measures (such as the volume of contaminants removed or the number of habitats restored).

(1 mark)

(3 marks)

Total marks (16 marks)

Question 4: Solution

Malone plc

Requirement 1

Under IAS 36, the recognition of impairment loss by Malone is justified due to the significant revision of long-term price assumptions influenced by the transition to a lower-carbon economy which is an indicator of impairment.

(1 mark)

Following impairment testing, intangible assets should be measured at the lower of their carrying amount and recoverable amount, leading to impairment losses of £2.4 billion. This ensures that the financial statements present a true and fair view of the company's assets.

(1 mark)

Investors and analysts' concern over the impairment loss recognition brings forward some ethical concerns worth exploring. These are:

- Malone's management must ensure that the impairment losses are recognised and disclosed honestly. This includes providing clear, truthful explanations about the transitional risks and the basis for the revised long-term price assumptions. Any attempt to obscure or misrepresent the facts would violate integrity.

(1 mark)

- Malone's management must act objectively and avoid any bias in the recognition and reporting of impairment losses, such as attempting to minimise losses to achieve a certain profit target. Decisions should be based on objective evidence and reasonable assumptions, without being influenced by personal interests or external pressures.

(1 mark)

- Malone must ensure that all impairment calculations and disclosures comply with IFRS® Accounting Standards and IFRS Sustainability Disclosure Standards and that these standards are applied accurately and consistently in order to meet the principle of professional competence and due care. This includes regularly reviewing and updating assumptions in response to changing market conditions and regulatory landscapes.

(1 mark)

(5 marks)

Requirement 2

Under IFRS Accounting Standards, Malone should disclose:

- The amount of impairment losses recognised and the events and circumstances that led to the recognition of these losses.

(1 mark)

- The significant assumptions and judgements made in assessing the recoverable amount of assets. Malone should provide detailed information on the revised long-term price assumptions for Brent oil and Henry Hub gas.

(1 mark)

- A sensitivity analysis, showing how changes in key assumptions (eg a further decrease in oil or gas prices) would impact the impairment calculation.

(1 mark)

Under IFRS S1 and S2, Malone should disclose:

- Transitional risks related to climate change and how these risks impact the company's strategy and financial planning.

(1 mark)

- A narrative explanation of how climate-related risks and opportunities, including the energy transition, affect the company's financial performance and position.

(1 mark)

- How its revised price assumptions and business strategy align with broader climate goals, such as the Paris Agreement, and the implications for its long-term viability and resilience.

(1 mark)

(6 marks)

Requirement 3

As climate change presents significant transitional risks to the oil and gas industry, the company has an obligation to its stakeholders to reflect these risks in its non-financial and financial reporting in order that the reporting faithfully represents the conditions facing the company.

(1 mark)

Stakeholders increasingly demand transparency about how companies are addressing the climate-related risks and opportunities provided in the company's non-financial reporting, but also understand how these risks are factored into financial reporting and asset valuation.

(1 mark)

By revising down long-term price assumptions, Malone is acknowledging the potential for these environmental shifts to impact future cash flows and therefore the recoverable amounts of its exploration prospects recognised as intangible assets.

(1 mark)

This forward-looking approach ensures that the financial statements accurately represent the economic reality faced by the company, aligning with the expectations set by the IFRS® Accounting Standards.

(1 mark)

By linking non-financial with financial reporting, Malone also provides a clear indication of how it proactively manages the material financial implications of climate change on its operations, demonstrating its commitment to sustainable business practices.

(1 mark)

(5 marks)

Total marks (16 marks)

Question 5: Solution

Darlington Ltd

Requirement 1

Overall

The disclosure partly complies with the requirements of GRI 305.

(1 mark)

GRI 305 a)

Darlington has disclosed Scope 1 emissions for the current, last and base year so this requirement has been met.

(1 mark)

GRI 305 b)

However, it has not disclosed location-based Scope 2 GHG emissions and has therefore only partly complied with this requirement.

(1 mark)

GRI 305 c)

Darlington has disclosed Scope 3 emissions for the current, last and base year so this requirement has been met.

(1 mark)

GRI 305 d)

The disclosure includes the emission targets for Scope 3 in terms of emission intensity however the GHG emission intensity ratio is not provided and so this requirement is not met.

(1 mark)

GRI 305 e)

Darlington provides the GHG emissions reduced as a direct result of reduction initiatives (carbon offset; requirement and has met this requirement.

(1 mark)

GRI 305 f)

This requirement has not been met as it is unclear whether these reductions took place in Scope 1, 2 or 3 emissions (requirement f).

(1 mark)

GRI 305 g)

Finally, Darlington is silent over the standards, methodologies, assumptions, and/or calculation tools used (requirement g).

(1 mark)

(9 marks)

Requirement 2

i. Inventories

The effects of the fall in customer demand must be taken into account when estimating the net realisable value (NRV) of the inventories.

(1 mark)

Disclosure is required of the amount of write-down of inventories recognised as an expense in the period. IAS 2 does not specifically require disclosure of the reasons for the write-down.

(1 mark)

ii. Intangible assets

The scrutiny faced by the company and the decrease in customer demand are likely to be indicators of impairment.

(1 mark)

The value-in-use calculations and fair value, less costs to sell, should reflect the current levels of demand, current regulations regarding GHG emissions and other sustainability-related matters that are relevant to Darlington.

(1 mark)

If the digital platform is found to have a recoverable amount lower than its carrying amount, an impairment loss should be recognised immediately in the profit or loss.

(1 mark)

Specific disclosures relating to the circumstances that lead to the impairment are required in accordance with IAS 36, and therefore Darlington must include information relating to the scrutiny faced and the fall in demand in the notes to the financial statements.

(1 mark)

(6 marks)

Requirement 3

Issue

Presenting aspirational targets (in GRI disclosures), without due balance as to the costs or challenges faced in achieving those targets or whether they are achievable, appears to be greenwashing and could mislead stakeholders

(1 mark)

Professional competence and due care

The finance director has stated that they are not an expert in the requirements of GRI Standards which calls into question whether they have the professional competence to prepare the information disclosed.

(1 mark)

Integrity

Directors must ensure that both financial and non-financial disclosures are complete and truthful. Not wanting to disclose information relating to demand that impacts on inventories and intangible assets as they do not want to disclose negative information calls into question the integrity of the director as they are not being straightforward and honest in the information reported.

(1 mark)

Professional behaviour

The fact that the finance director is aware that the targets are aspirational and the suggestion that they are not achievable also calls into question their professional behaviour as this is conduct that could discredit the profession.

(1 mark)

(4 marks)

Total marks (19 marks)